

wrong time and suffer significant losses. So a wife needs to be trained in good money management and investment strategy. She needs to know how to buy and sell, and where to go for the help she needs. It is poor stewardship for a wife not to understand the investment portfolio.

Also, since it is not uncommon for a husband and wife to die together in an accident, the older children should be brought into family decisions involving your investments. At a minimum, you need to leave them instructions so they will be able to manage your portfolio without having to dispose of it upon your death just to pay estate taxes.

33 INVESTMENT STRATEGY

We have completed the 10 keys to good investing, and now I'd like to discuss a few of the investments available. Understand that what you read should be taken as guidelines to help you get started and not as absolutes. Ultimately any and all investment decisions are yours. As we discuss these investments, we'll look at them in terms of risk and return. It will be helpful to assign some kind of numerical value according to the risk or return for each kind of investment. I will arbitrarily use a scale of 0 to 10.

Before proceeding, a few definitions are in order. First, both income and growth are included under the general term *return*. In other words, you may have cash income from a certificate of deposit, and you may have growth income from a rental house—both are considered return on investment. The first is immediate and the second is long-term. Income means the average current yearly yield. Growth refers to the average yearly appreciation of the underlying investment. Therefore, if you get a 5 percent cash return from a rental house after all expenses are paid, and the house is also appreciating 5 percent per year, it has a 10 percent per year return on investment.

The term *risk* refers to the potential loss. In other words, all things being equal, what is the probability that you will get